

		substantive unconscionable provisions against a backdrop of not insignificant procedural unconscionability are indicative of a ‘systematic effort to impose arbitration on an employee not simply as an alternative to litigation, but as an inferior forum that works to the employer's advantage.’”].) Accordingly, the court denies Defendant’s Motion to Compel arbitration on the grounds of procedural and substantive unconscionability. Defendant is ordered to give notice of this ruling.
14	30-2026-01546800 Castellanos vs. Anza Management Company	Defendant Anza Management Company’s (“Defendant”) Motion to Compel Arbitration, Strike Class Claims, and Dismiss or Stay Proceedings Pending Arbitration is GRANTED. Plaintiff’s class claims are DISMISSED, Plaintiff’s individual claims are compelled to arbitration, and the remaining representative PAGA claim is STAYED pending completion of arbitration. The court OVERRULES Plaintiff’s objections to the Maria Chapman declaration as an amended declaration has been provided signed under penalty of perjury, a certified translation of the arbitration agreement has been provided, and Ms. Chapman has established adequate foundation for her statements based on her position and review of documents. The court declines to rule on Plaintiff’s Objections to Defendant’s counsel’s declaration as counsel’s statements were not necessary to the court’s ruling. <u>I. Existence of the Agreement</u> “The petitioner bears the burden of proving the existence of a valid arbitration agreement by a preponderance of the evidence, while a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense.” (<i>Ruiz v. Moss Bros. Auto Grp.</i> (2014) 232 Cal. App. 4th 836, 842.) The trial court sits as the trier of fact, weighing all the affidavits, declarations, and other documentary evidence, and any oral testimony the court may receive at its discretion, to reach a final determination. (<i>Id.</i>) The petitioner must show that the plaintiff employee “was the person who electronically signed the [arbitration agreement]” with sufficient evidence that the electronic signature “was the act of [the plaintiff employee].” (<i>Id.</i> at 842.) “[A]ny writing must be authenticated before the writing, or secondary evidence of its content, may be received in evidence.” (<i>Id.</i> at 843.) “<i>The act of the person may be shown in</i>

		<i>any manner</i>, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable.” (<i>Id.</i> [emphasis in original].) A petitioner must show “how [the plaintiff employee’s] printed electronic signature, or the date and time printed next to the signature, came to be placed on the [arbitration] agreement,” so as to show how petitioner ascertained that the electronic signature was “the act of” the plaintiff employee. (<i>Id.</i> at 844.) “In the face of [a plaintiff employee’s] failure to recall electronically signing the [arbitration] agreement, the fact the [] agreement had an electronic signature on it in the name of [a plaintiff employee], and a date and time stamp for the signature, [i]s insufficient to support a finding that the electronic signature was, in fact, ‘the act of’ [the plaintiff employee].” (<i>Id.</i>) “[A] party may present evidence that the signatory was required to use a unique, private login and password to affix the electronic signature, along with evidence detailing the procedures the person had to follow to electronically sign the document and the accompanying security precautions.” (<i>Garcia v. Stoneledge Furniture LLC</i> (2024) 102 Cal. App. 5th 41, 53.) To carry its burden, the petitioner must show that “<i>only</i> [the plaintiff employee] could have placed the electronic signature on the arbitration agreement.” (<i>Id.</i> [emphasis in original].) The burden is not met when an employer defendant “did not detail the security precautions regarding the use of the [] username and password; the arbitration agreement lacked a date, time, or IP address; and the agreement contained no indication it was created within the [onboarding] system.” (<i>Id.</i> at 54.) Defendant submitted the declaration of Maria Chapman, the Human Resources Director for Defendant, initially without having her sign under penalty of perjury. (ROA 25.) Defendant then filed an amended declaration where she signed under penalty of perjury. (ROA 75.) The court therefore considers her declaration and supplemental declarations, and find that Defendant has adequately established the existence of an arbitration agreement between Plaintiff and Defendant. Ms. Chapman explains that by the first day of employment, Anza’s Payroll Administrator will have created an ADP account for the new employee. (Am. Chapman Dec. ¶ 8.) Upon creation of the account, ADP automatically generates an email that is sent to the employee’s personal email address previously provided to Anza by the employee as an applicant. (<i>Id.</i>) The email generated by ADP includes the employee’s unique user ID, and the
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	employee must create an individual, private password to gain access to the onboarding documents, including the Arbitration Agreement. (<i>Id.</i>) Anza supervisors and management do not have access to an employee’s unique login and cannot login for employees. (<i>Id.</i> ¶ 9.) If an employee cannot recall their login information, they can reset their password through a link that goes to the employee’s email. During ADP onboarding, the employee verifies personal information electronically through ADP. (<i>Id.</i>) On August 3, 2023, as part of Plaintiff’s hire, she was presented with various agreements, acknowledgements, and information from Anza through ADP. (Am. Chapman Dec. ¶ 7.) Anza made the information, agreements, and acknowledgements available to Plaintiff through secured electronic means by way of a secure link sent directly to Plaintiff’s personal email. (<i>Id.</i>) Only the employee receives their unique activation email from ADP. (<i>Id.</i> ¶ 9.) Once the employee inputs their required personal information, only then is the employee permitted to proceed with reading, acknowledging, and signing the required onboarding documents. (<i>Id.</i> ¶ 10.) As an added security measure, if the employee cannot complete the onboarding process for any reason, they will be logged out. (<i>Id.</i>) To agree to and accept the terms of the Arbitration Agreement, Plaintiff, like other employees, was required to click on a button marked “Sign and Continue.” (<i>Id.</i> ¶ 11.) Once the individual completes the onboarding process, signed documents within are converted to “flat” pdfs, and cannot be edited or overwritten. (<i>Id.</i> ¶ 12.) This ensures that the document that is maintained in the payroll database is the same document that the individual signed. (<i>Id.</i>) Ms. Chapman states: “Based on my personal review of Plaintiff’s ADP employee profile, onboarding documentation, and the ADP Document Audit History report associated with Plaintiff’s Arbitration Agreement, I can confirm that Plaintiff was provided with the Arbitration Agreement through Anza’s ADP onboarding process and electronically signed the agreement on August 3, 2023. (Supp. Chapman Dec. ¶ 12, Ex. E.) Plaintiff challenges Defendant’s proof of the agreement by noting that Defendant relies on a Spanish-language arbitration agreement without a certified translation, a defective declaration not signed under penalty of perjury, an ADP verification for a 2025 handbook rather than the alleged arbitration agreement, and a forwarded 2026 exemplar email rather than Plaintiff-specific onboarding evidence. In reply, Defendant provided a certified
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translation (ROA 71), an amended declaration signed under penalty of perjury (ROA 75), and signature verification of the agreement (ROA 77, Ex. E). The court finds no issue with the fact that Defendant submitted an exemplar e-mail to explain its onboarding process.

Plaintiff claims she did not recall seeing or signing the arbitration agreement. (Castellanos Dec. ¶ 5.) Courts have held that the existence of an agreement may be established even when an employee claims not to recall seeing or signing the agreement if the Defendant's evidence adequately authenticates the electronic signature as an act of the employee. (*Espejo v. S. California Permanente Med. Grp.* (2016) 246 Cal. App. 4th 1047, 1054, 1062 [Finding sufficient a declaration that "detailed [employer's] security precautions regarding transmission and use of an applicant's unique username and password, as well as the steps an applicant would have to take to place his or her name on the signature line of the employment agreement"].) The court finds that Defendant has met its burden in establishing the electronic signature as an act of Plaintiff, and therefore met its burden to establish the existence of an arbitration agreement.

II. Unconscionability

"[U]nconscionability has both a 'procedural' and a 'substantive' element, the former focusing on 'oppression' or 'surprise' due to unequal bargaining power, the latter on 'overly harsh' or 'one-sided' results." (*Armendariz v. Found. Health Psychcare Servs., Inc.* (2000) 24 Cal. 4th 83, 114.) "The prevailing view is that [procedural and substantive unconscionability] must both be present in order for a court to exercise its discretion to refuse to enforce a contract or clause under the doctrine of unconscionability." (*Id.*) "But they need not be present in the same degree." (*Id.*) "Essentially a sliding scale is invoked which disregards the regularity of the procedural process of the contract formation, that creates the terms, in proportion to the greater harshness or unreasonableness of the substantive terms themselves." (*Id.*) "In other words, the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa." (*Id.*)

"Where a contract has several distinct objects, of which one at least is lawful, and one at least is unlawful, in whole or in part, the contract is void as to the latter and valid as to the rest." (Cal. Civ. Code § 1599.) "If the central purpose of the contract is

tainted with illegality, then the contract as a whole cannot be enforced.” (*McManus v. CIBC World Markets Corp.* (2003) 109 Cal. App. 4th 76, 101.) “If the illegality is collateral to the main purpose of the contract, and the illegal provision can be extirpated from the contract by means of severance or restriction, then such severance and restriction are appropriate.” (*Id.*)

A. Procedural Unconscionability

Plaintiff asserts that the agreement is procedurally unconscionable because Anza or its representatives pointed out where Plaintiff needed to sign or click, did not explain the documents, and rushed Plaintiff because they wanted her to finish the process and begin working. (Castellanos Dec. ¶10.) When Plaintiff asked what the paperwork meant, she was told words to the effect of, “you just sign so we can put you to work.” (*Id.* at ¶11.) Plaintiff claims she was not given a meaningful opportunity to review the documents carefully, was not allowed to take them home, was not told she could consult with an attorney, was not told she could negotiate any arbitration term, was not told she could refuse arbitration and still work for Anza, and was not told she could opt out. (*Id.* ¶¶ 12-13, 16.) It is also undisputed that the arbitration agreement is a contract of adhesion. Thus, Plaintiff has established some level of procedural unconscionability.

B. Substantive Unconscionability

Plaintiff asserts that the PAGA waiver in the agreement is substantively unconscionable. The waiver states: “I expressly waive the right to bring a class, collective, representative or PAGA claim **(unless such waiver is prohibited by controlling law)** seeking any relief on behalf of others.” (Am. Chapman Dec., Ex. D [emphasis added].) Plaintiff argues that the limiting language does not make the PAGA waiver permissible. “[A]n employee's right to bring a claim under the Act is not waivable.” (*Hasty v. Am. Auto. Assn. etc.* (2023) 98 Cal. App. 5th 1041, 1063.) “The ban on *all* representative Act actions thus remains unconscionable because it requires an employee to waive a right that is not waivable.” (*Id.* [emphasis in original].) “[I]t is irrelevant that [the employee] has not brought a private attorney general action.” (*Id.*) “The fact that the provision applies to only the ‘extent permitted by law’ does not save it because the employee would have no way of knowing what would be covered or not covered by this provision.” (*Id.* at 1062.)

	Plaintiff also objects to the language in the agreement that Plaintiff “lack[s] standing to pursue, litigate, or act as a representative for any non-individual PAGA claims in a court of law.” Plaintiff argues that compelling individual PAGA claims to arbitration does not strip an aggrieved employee of standing to litigate non-individual PAGA claims in court. (<i>Adolph v. Uber Techs., Inc.</i> (2023) 14 Cal. 5th 1104, 1121 [“Standing under PAGA is not affected by enforcement of an agreement to adjudicate a plaintiff’s individual claim in another forum.”].) Therefore, this waiver of standing is contrary to law. Plaintiff further argues that the waiver of the right to seek public injunctive relief in any forum is also substantively unconscionable. Plaintiff points to the language that Plaintiff waives the right to bring claims “seeking any relief on behalf of others.” (Am. Chapman Dec., Ex. D.) “[I]nsofar as the arbitration provision here purports to waive [the employee’s] right to request in any forum [] public injunctive relief, it is invalid and unenforceable under California law.” (<i>McGill v. Citibank, N.A.</i> (2017) 2 Cal. 5th 945, 961.) Where “the Arbitration Provision provides for resolution of all covered disputes in arbitration, but prohibits an arbitrator from granting nonindividual relief, the provision does waive Plaintiffs’ right to seek a public injunction “in any forum.” (<i>Vaughn v. Tesla, Inc.</i> (2023) 87 Cal. App. 5th 208, 228.) Like with the PAGA waiver, Plaintiff argues that the phrase “unless such waiver is prohibited by controlling law” does not save the otherwise unconscionable provision. Plaintiff also contends that the subject agreement lacks mutuality because it provides benefits to broad swaths of third-party beneficiaries only in favor of the stronger party without a reciprocal benefit to the employee. An agreement is substantively unconscionable when there is a “lack of a 'modicum of bilaterality,' wherein the employee's claims against the employer, but not the employer's claims against the employee, are subject to arbitration.” (<i>Little v. Auto Stiegler, Inc.</i> (2003) 29 Cal. 4th 1064, 1072.) <i>Cook v. Univ. of S. California</i> (2024) 102 Cal. App. 5th 312 held that an arbitration agreement between the University of Southern California (“USC”) and one of its employees was unconscionable because of its overly broad scope of claims, indefinite duration and requirement that the employee arbitrate claims against USC’s affiliates without any mutual arbitration requirement for the affiliates. “The plain language of the arbitration agreement thus provides a significant benefit to
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	[defendant employer’s] related entities without any reciprocal benefit to [plaintiff employee].” (<i>Cook</i>, 102 Cal. App. 5th at 328.) However, courts looking at <i>Cook</i> have stated that its holding is contingent on the broad reach of USC’s operations and the broad scope of claims that could potentially arise between the plaintiff employee and an affiliate that would have nothing to do with the employment relationship. “The agreement in <i>Cook</i> was unconscionable in part because of the multifarious ways in which a claim against USC “completely unrelated to [Cook’s] employment could arise.” (<i>Ayala-Ventura v. Superior Ct. of Fresno Cnty.</i> (2026) 119 Cal. App. 5th 241, 257.) Here, by contrast to <i>Cook</i>, the claims against the Company governed by the agreement are limited to “all disputes that might arise out of or be related in any way to my application for employment and/or employment by the Company.” (Chapman Dec., Ex. D, ¶ 1). Thus, the Agreement avoids the broad swath of liability found unconscionable in <i>Cook</i>. In the context of this defendant, whose reach is not as broad as USC’s, the clause is not unconscionable. Here, Defendant concedes in its reply that these provisions challenged by Plaintiff evidence substantive unconscionability, but argues that they can be severed and the remaining arbitration agreement should be enforced. “In deciding whether to sever terms rather than to preclude enforcement of the provision altogether, the overarching inquiry is whether the interests of justice would be furthered by severance; the strong preference is to sever <i>unless</i> the agreement is ‘permeated’ by unconscionability.” (<i>Hasty v. Am. Auto. Assn. et al.</i> (2023) 98 Cal. App. 5th 1041, 1064.) When “the arbitration agreement is permeated with unconscionability, . . . the trial court could not simply sever the offending provisions.” (<i>Id.</i> at 1065.) “Rather, the trial court would have needed to rewrite the arbitration agreement, creating a new agreement to which the parties never agreed.” (<i>Id.</i>) In this case, the court finds that the PAGA waiver, PAGA standing waiver, and waiver of public injunctive relief provisions do not permeate the agreement with unconscionability and are easily stricken from the agreement. Two of the provisions only apply to the extent permitted by law and thus would not apply in this case anyway. The waiver of public injunctive relief is of little consequence because such relief is rarely sought in arbitrations of this kind and is secondary to the monetary relief at the core of the complaint. The court, in the exercise of its discretion in this area, finds that the interests of justice are best
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		served by severing the above provisions and enforcing the parties' agreement to arbitrate. The class action waiver in the arbitration agreement requires dismissal of the class claims (<i>Iskanian v. CLS Transportation Los Angeles, LLC</i> (2014) 59 Cal. 4th 348, 372 [class action waivers are enforceable under the FAA]) and the individual portion of the PAGA claim may be ordered to arbitration per <i>Viking River Cruises, Inc. v. Moriana</i> (2022) 596 U.S. 639, 662 [holding that an employer is “entitled to enforce the agreement insofar as it mandated arbitration of [employee]'s individual PAGA claim”]). The agreement states: “I expressly waive the right to bring a class, collective, representative or PAGA claim (unless such waiver is prohibited by controlling law) seeking any relief on behalf of others.” (Chapman Dec., Ex. D, ¶ 1) Thus, Plaintiff’s class claims are dismissed. Finally, both the Federal Arbitration Act and California law provide for a stay of proceedings pending arbitration. (9 U.S.C. §3; CCP §1281.4.) It is also in the interests of comity and the conservation of judicial resources to avoid potential conflicting rulings and stay the arbitration, eliminating the risk of inconsistent decisions between the arbitration proceeding and the court proceeding. (<i>Lawyers Title Ins. Corp. v. Superior Court</i> (1984) 151 Cal. App. 3d 455, 460.) As such, the court stays the action, including the representative PAGA claim, pending completion of arbitration. Defendant is ordered to give notice of this ruling.
15	30-2026-01556346 Bohinski vs. Workway, Inc.	Off Calendar